



[Weekly Market Commentary](#)

Dear clients,

The impressive rally in crypto this week has been supported by a combination of large inflows into US-based spot bitcoin ETFs as well as a short squeeze in leveraged derivative positions. Spot bitcoin ETFs recorded impressive net inflows of almost \$1.8B in the first three days of this week, while the open interest on BTC perpetual futures reached their highest level since January 2022 (\$14.2B). The open-interest weighted average funding rate also reached 109% annualized on February 28, a level last seen in April 2021. This performance has been constant with our constructive outlook published in early February, though we are cautious about some of the negative seasonal factors that could still emerge in March.

Meanwhile, the Uniswap Foundation's proposal on February 23 lays the technical groundwork for implementing a fee mechanism to pay UNI stakers and delegators (who participate in governance) in wrapped ether – a significant change to the largest DeFi protocol by market cap. Although the exact revenue projection depends on the final protocol fee threshold, an analysis by Gauntlet (engaged by the Uniswap Foundation as part of the proposal) suggests annual estimates ranging from a conservative \$10M to an optimistic \$72M. We think this proposal, if passed, could begin to bring clarity and grounding to previously speculative token valuations, and also represents a variation in value accrual mechanisms that contrasts with protocols that perform buyback-and-burns.

Separately, we also highlight interoperability challenges of an increasingly fragmented rollup universe. That said, as both modular and integrated technologies continue to improve their scalability, we think that an increasingly relevant aspect of the discussion will be on tools (such as Coinbase's [wallet solutions](#)) for creating a smooth user experience that abstract away not only the underlying blockchain, but also seed phrase and wallet management pain points. In our view, widespread adoption of decentralized applications will require the underlying technology stacks and engineering tradeoffs to be hidden from users in a similar manner to web2 scaling solutions today.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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